Basic Strategy

Level: starter

Prerequisites: none

The Buy and Sell signals based on the reversal level are the backbone of our system, and they are important in most of our other strategies as well.

The reversal level is used on a **"bullish above, bearish below"** basis. The standard Buy/Sell signals are a method to get into trending moves and the intention is to hold the position as long as "Mode" stays green (or light green). On a next Sell signal, mode will turn red and that's when we sell the stock.

Jesse Livermore, the legendary early 20th century investor, used to say: "*There is only one side to the stock market; and it is not the bull side or the bear side, but the right side.*"

The reversal level is all about detecting what is the "right side" on a daily basis, and when it tells us we are on the wrong side then we close or change our position. Unlike ordinary moving averages, the reversal level was developed and optimized specifically for this purpose.

Let's examine some practical examples. GE Aerospace (GE) is giving a Buy signal (dd. Dec 13, 2025). This is what we see in our table, and hovering the mouse cursor above "Buy" in the Action column brings up the strategy text in a popup:

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
GE Aerospace	GE	299.81	33		288.51	-2.11 ▲	18	**-1.35%**	**Buy**	0.71 ▲ 158

Mode turns bullish.
Can be bought at next Open, or with a buy limit order.
Buy signals in stocks with a positive R have better odds of being profitable.

GE closed at $299.81 and the current reversal level ("RevL") is at $288.51. Mode is changing from red to green, as shown by the yellow arrow. The "Days" column shows that this stock has been in bearish mode for 18 trading days. We also see a positive "R" in the last column. That will be explained in the more advanced strategies. Bullish mode starts from today and the table will start showing the number of days and P/L% of the new bullish position, as long as this stock stays in bullish mode.

Following the basic strategy we would buy GE on next Open and then hold this position until the next Sell signal. A standard Sell signal will occur whenever the stock closes back below its reversal level. In this example the RevL is $288.51, so that will function as our stop loss level on a daily Close basis (we don't use intraday stop orders).

Ideally our stock will keep climbing and stay above the reversal levels for many days or weeks. Good trending moves can go on for 40 days or more. The reversal level will keep locking in profit for us as the stock keeps rising. Eventually a Sell signal will tell us to get out. Here is a current example (dd. Dec 13, 2025):

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Arcus Biosciences	RCUS	21.53	14	➤	24	3.02 ▼	**110**	**+117.26%**	Sell	1.04 ▲ 6

Bullish since 10-Jul-2025
from 9.91
Mode turns bearish

Arcus Biosciences (RCUS) has been in bullish mode for 110 days and is up 117.26% since its Buy signal. Hovering (or tapping) above "110" in the "Days" column shows this trade started on July 10, 2025 and the Open price on that day was $9.91.

But every move ends and now RCUS has closed below its RevL, which means we have a Sell signal. Stopping the cursor above "Sell" brings up the strategy text for the coming day:

Name		Close	Tr	Mode	RevL (D)	MoM (D)	Days	P/L %	Action	R
Arcus Biosciences	RCUS	21.53	14	➤	24	3.02 ▼	110	**+117.26%**	**Sell**	1.04 ▲ 6

Mode turns bearish.
Can be sold at next Open, especially if weekly trend (Tr) is bearish too, or if the R value is negative.
Sell signals can be negated if you use the Switch strategy and weekly trend (Tr) is still bullish.

In the basic strategy we would sell to take our profit and wait for the next chance. The mentioned Switch strategy is for longer term investing and is explained in PDF #3.

Studying the P/L% column in the tables is an excellent way to get a realistic idea of the kind of winners and losers you can expect with this basic strategy. You can see how long each move has been going and what the entry price was.

Important tips and notes:

1) For the basic strategy we use the Buy/Sell signals for our stocks and negate all the rest. The use of “spBuy”, “pP” and “Add” signals is explained in the more advanced strategy PDF.

2) A significant portion of Buy signals will result in failed rallies, leading to small losses or break-even trades. It is also possible for a stock to fall right back and trigger a Sell signal after 1 or 2 days already. That’s not funny, but such whipsaw moves or bull traps can never be completely eliminated.

The rest of our trades will keep going up for weeks or months and that brings in the bulk of our profits. Over the course of a year about 80% of our profits will typically come from just 20% of all trades we did. This is known as the Pareto principle.

So, it is all about taking good chances and letting the winners run. This takes some discipline, but once you master it you will already have an edge over 90% of the stock traders out there.

3) As a new subscriber, it is likely that you will experience some small losses before seeing big profitable trades. This is normal because winning trades usually take their time to move, while losses get cut more quickly, sometimes within days.

Do not let this discourage you. Trend following requires the patience to wait for trending moves. If the stock market is pausing or in choppy sideways mode, then there are fewer good trending moves we can benefit from. We have to accept that. In strong market years we will be rewarded with lots of trending moves.

4) Failing trades usually fail quickly, within the first 5 – 10 days. Don’t dwell on the small losses, focus on the active positions and on the next trades. Occasionally a bigger loss can happen on an overnight decline. We can’t avoid that, but fortunately it’s rare. And the reverse will also happen, a stock we own can jump overnight on takeover news.

5) Buying at Open will not always give us a great entry price. Therefore Limit orders can be used to buy the stock a bit cheaper. Strategy #6, the Opportunist, covers this in more detail.

6) The average duration between a Buy and Sell signal in the basic strategy is 20 trading days, or approximately one month. This is swing trading. If you prefer longer holding periods then Strategy #3, the Switch, goes into that topic.

7) It's important to keep a list of stocks we want to trade or own. The idea is not to scour the tables for some stock to buy because we have idle cash in our account. We cover over 3,000 tickers and some of them are struggling companies. If there are no Buy signals in our watchlist then it's better to wait.

The daily tables page offers 5 watchlists ("My1" until "My5"), which can be edited in the settings on the page (the tickers will be kept in local browser storage). This allows us to keep a different ticker list for each strategy we decide to use.

8) As a rule of thumb our watch list should have about 1.5 to 2 times the maximum number of stocks we intend to own when fully invested. This depends on our chosen position size. For example, if our usual position size is 10% of allocated trading capital, then we will maximally own 10 stocks and keeping a diverse selection of 15-20 stocks in the watchlist will be suffcient. See PDF #2 about "Stock Selection" for more info on this point.

9) Leading stocks and sectors give better and longer trending moves, so focus on quality. Market leadership can change over time. Our new Rela Charts and the "R" value in the tables handle that aspect. See PDF #10 for further details.

10) Popup charts will appear when you hover the cursor (or tap) on the name or ticker of a stock in the tables. The weekly Rela chart is shown on hover over the name. A daily chart with several indicators is shown on hover over the ticker. This can be used for "visual prospecting" and is explained in PDF #9 and #10.

11) Watch our blog for daily demo trades using the basic strategy, with our brief comments. For some people this is the best way to pick up the ins and outs of the method: https://blog.reversallevels.com/

12) Further reading. Here are a few older blog posts showing what to expect with the basic strategy:

What a trading method can do for you

What a trading method can do for you - part 2

What a trading method can do for you - part 3

13) Doing better than the market by 1 or 2% per year may look small, but don't forget the effect of compounding over time.

Years	1.07	1.08	1.09	1.1
1	1.14	1.17	1.19	1.21
2	1.23	1.26	1.30	1.33
3	1.31	1.36	1.41	1.46
4	1.40	1.47	1.54	1.61
5	1.50	1.59	1.68	1.77
6	1.61	1.71	1.83	1.95
7	1.72	1.85	1.99	2.14
8	1.84	2.00	2.17	2.36
9	1.97	2.16	2.37	2.59
10	2.10	2.33	2.58	2.85
11	2.25	2.52	2.81	3.14
12	2.41	2.72	3.07	3.45
13	2.58	2.94	3.34	3.80
14	2.76	3.17	3.64	4.18
15	2.95	3.43	3.97	4.59
16	3.16	3.70	4.33	5.05
17	3.38	4.00	4.72	5.56
18	3.62	4.32	5.14	6.12
19	3.87	4.66	5.60	6.73
20	4.14	5.03	6.11	7.40

If the market goes up 7% per year, then $100k becomes $414k after 20 years. If we do 1% better each year then $100k becomes $503k after 20 years. Almost 100k more! And if we manage to do 3% better than the market, then $100k becomes $740k after 20 years. This is very important to grasp. If we can do 1 or 2% better than the market with smart entry and exit, and if we can do another 1 or 2% better by focusing more on quality stocks, then will do very very well over the long term.

Services that talk about beating the market by 10 or 20% per year are just exaggerating. There are no big undiscovered edges to be found in competitive liquid global markets. Of course, we can always have an occasional bumper year. A 10% position in a runaway stock that jumps 200% will do that. On the flip side, one will probably have a few very forgettable years too.

14) We always suggest that subscribers take enough time to become well grounded in the basic strategy before taking on the more advanced methods. Don't move too fast.

In our more advanced strategies we introduce different elements and techniques that help to improve the results another percentage point here and there. Smart stock selection and more targeted entry methods among other things. Small incremental improvements.

How far you try to climb up that learning curve is of course a personal choice. Some subscribers give up quick. Others have been with us for 10 years and are doing extremely well using the basic strategy and only one of the other advanced strategies that suits their preferred style and timeframe. Less can be more.

As always, your feedback, suggestions and questions are welcome. Just reply to any of our daily emails.

https://www.reversallevels.com/